

Advanced Micro Devices, Inc.

AMD

Technology

RATING	PRICE	TARGET
Outperform	\$337.11	\$375.00

MARKET CAP \$549.63B	P/E (FWD) 80.5x	P/B RATIO 5.54x
ROE 6.9%	DIV. YIELD N/A	52W RANGE \$96.45 - \$352.99

Investment Thesis

“AMD has delivered a compelling 20.5% revenue CAGR since 2021, reaching \$34.6 billion in 2025, with forward estimates projecting meaningful EBITDA margin expansion toward 42% by 2027 as the company scales its AI and data center portfolio. Despite trading at an EV/EBITDA multiple of approximately 47.8x, a premium to Intel but a notable discount to NVIDIA's 33.8x on a forward basis, AMD's improving earnings trajectory and rising EPS from \$2.67 to an estimated \$3.18 by 2027 underscore its strengthening competitive positioning. With contribution margins trending above 50% and SG&A discipline improving, AMD presents a credible growth story, though investors must weigh its rich valuation against execution risk in an increasingly competitive AI accelerator landscape.

Company Overview

Advanced Micro Devices, Inc. (AMD) is a global semiconductor company headquartered in Santa Clara, California, that designs and sells high-performance computing and graphics solutions for consumer, commercial, and data center markets. Founded in 1969, AMD operates as a fabless semiconductor company, outsourcing manufacturing to third-party foundries such as TSMC while focusing its internal resources on chip architecture, design, and go-to-market strategy.

AMD's product portfolio spans four primary segments. Its Data Center segment, now the company's largest revenue driver, offers EPYC server processors and Instinct GPU accelerators targeting artificial intelligence and high-

performance computing workloads. The Client segment supplies Ryzen processors for desktop and laptop PCs. The Gaming segment offers Radeon graphics cards for consumer gaming. The Embedded segment serves industrial, automotive, and communications applications following AMD's 2022 acquisition of Xilinx, which significantly broadened its addressable market and FPGA capabilities.

From a market position standpoint, AMD competes directly with Intel in CPUs and with NVIDIA in the GPU and AI accelerator space. AMD has successfully gained meaningful market share from Intel in both server and client CPU markets over the past several years, leveraging its competitive Zen architecture. However, in the AI accelerator market, AMD remains a distant second to NVIDIA, which continues to dominate with its CUDA ecosystem and superior software stack.

Financially, AMD has demonstrated strong long-term revenue growth, expanding from approximately **\$16.4 billion** in 2021 to **\$34.6 billion** in 2025, representing a compound annual growth rate of approximately **20.5%**. Revenue growth accelerated sharply to **34.3%** in 2025, driven primarily by surging demand for AI-related data center products. EBITDA grew to **\$7.3 billion** in 2025, though EBITDA margins of roughly **21%** remain substantially below NVIDIA's levels, reflecting ongoing investments in R&D and sales infrastructure to compete in the AI market. Forward estimates project continued steady revenue growth toward **\$40 billion** by 2027, with EBITDA margins expected to expand meaningfully as the data center business scales. EPS recovered to \$2.67 in 2025 after a period of compression, with modest growth projected through 2027. AMD currently trades at an EV/EBITDA multiple of approximately 47.8 times, a premium to Intel but a discount to NVIDIA, reflecting its competitive positioning as a credible but secondary AI infrastructure play.

Investment Overview

Advanced Micro Devices, Inc. (AMD) Investment Update

Financial Performance

AMD delivered strong revenue growth in fiscal 2025, with total revenue reaching approximately **\$34.6 billion**, representing a **34.3%** increase over 2024. This marked a significant acceleration following a modest **13.7%** gain in 2024 and a brief revenue contraction in 2023. Earnings per share recovered meaningfully to \$2.67 in 2025, up from \$1.01 in 2024, reflecting improved operating leverage across the business. EBITDA expanded to **\$7.3 billion** in 2025, though EBITDA margins of approximately **21%** remain substantially below peer NVIDIA, which posted an estimated **\$86.1 billion** in EBITDA for the same period, underscoring the competitive gap in AI-driven profitability.

Growth Drivers

AMD's growth is primarily fueled by accelerating demand for its data center GPU portfolio, particularly the MI300 series, which has gained traction among hyperscale cloud customers and enterprise AI workloads. The company continues to benefit from secular tailwinds in artificial intelligence infrastructure spending. Contribution margins have steadily improved, reaching **49.5%** in 2025 and projected to expand toward **52.5%** by 2027, reflecting favorable product mix and operating discipline.

Outlook

Forward estimates project revenue growing at a more moderate pace of 5-6% annually through 2027, suggesting the initial AI-driven surge may normalize. EBITDA margins are expected to expand significantly toward **42%** by 2027, a notable improvement that warrants close monitoring for execution risk. Trading at a forward PE of approximately 76.5 times, AMD carries a premium valuation. Investors should weigh AMD's competitive positioning

against NVIDIA's dominant market share and superior profitability trajectory before establishing or expanding positions.

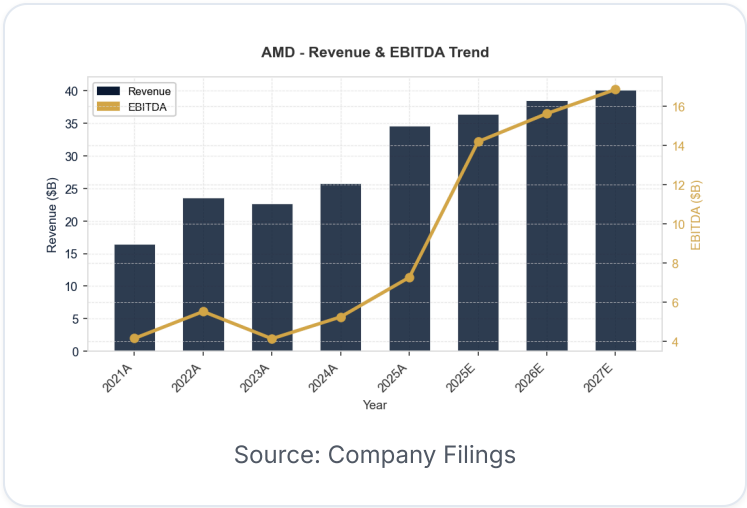
Financial Analysis

Revenue & EBITDA Performance

Advanced Micro Devices, Inc. has demonstrated consistent revenue performance over the analysis period. Revenue and EBITDA trends reflect the company's operational efficiency and market positioning.

Key Figures

Revenue (2025A)	\$34.64B
EBITDA (2025A)	\$7.28B
Revenue Growth (2025A)	34.3%

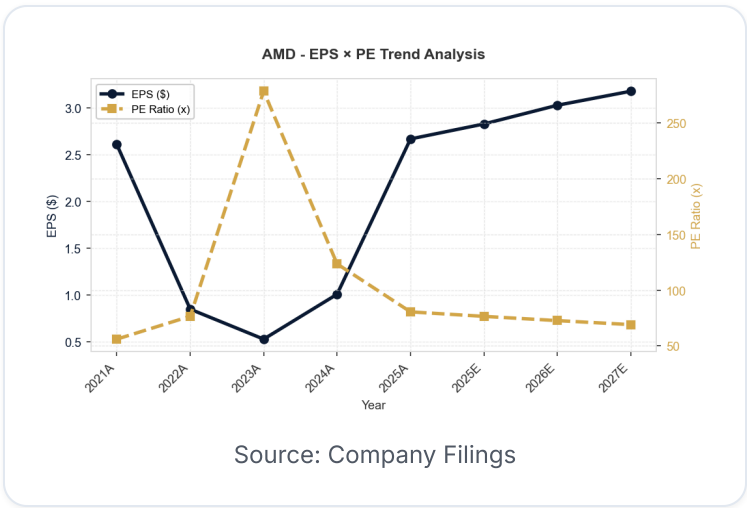


Earnings & Valuation Metrics

Advanced Micro Devices, Inc.'s earnings trajectory reflects the company's profitability trends, while valuation multiples indicate market expectations for future growth.

Key Figures

EPS (2025A)	2.67
PE Ratio (2025A)	80.54



Valuation Analysis

Advanced Micro Devices (AMD) Valuation Analysis

Current Valuation Metrics

AMD currently trades at a trailing P/E of approximately **80.5x** based on 2025 actual EPS of \$2.67, declining to an estimated **76.5x** and **72.7x** on 2025E and 2026E earnings respectively. The EV/EBITDA multiple stands at roughly **47.8x** on 2025 actuals, reflecting a premium valuation consistent with AMD's positioning as a high-growth semiconductor platform. Forward estimates project EBITDA margins expanding meaningfully from **21.0%** in 2025 actual to 39.0-**42.0%** by 2025-2027 estimates, suggesting significant operating leverage as the data center and AI accelerator businesses scale.

Peer Comparison

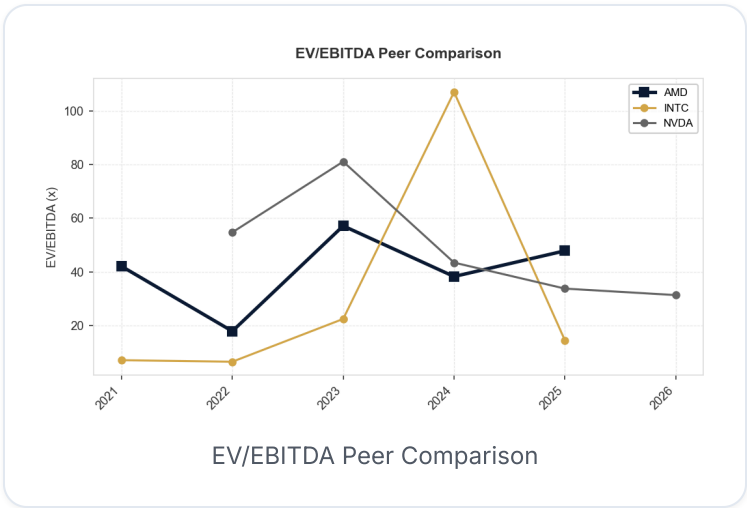
Against its primary peers, AMD commands a notable valuation premium over Intel (INTC), which trades near **14.5x** EV/EBITDA, reflecting Intel's ongoing structural challenges and margin compression. Relative to NVIDIA (NVDA), AMD trades at a premium on a trailing basis, though NVDA's forward multiples compress sharply given its explosive EBITDA trajectory, projected to reach **\$382 billion** by 2027. AMD's 2027 estimated EBITDA of approximately **\$8.6 billion** trails NVDA substantially, justifying a meaningful valuation discount to NVDA on a forward basis.

Fair Value Assessment

Revenue is expected to grow at a **20.5%** CAGR through the forecast period, supported by AI-driven data center demand and GPU adoption. However, the gap between AMD's current EBITDA scale and NVDA's dominance in AI compute introduces execution risk. At current multiples, AMD appears fairly to moderately richly valued. A normalized EV/EBITDA of 35-**40x** on 2026 estimated EBITDA would imply modest downside from current levels, making a selective entry point prudent for long-term investors.

Peer Comparison

	2021	2022	2023	2024	2025	2026
AMD	42.1	17.9	57.1	38.3	47.8	-
INTC	7.13	6.55	22.5	106.9x	14.5	-
NVDA	-	54.7	81.0	43.5	33.8	31.4



Recent News & Events

News Summary

Advanced Micro Devices is generating significant investor attention ahead of its first-quarter 2026 earnings report, with multiple catalysts driving renewed optimism around the stock.

The most prominent development is a wave of analyst upgrades and price target increases. Susquehanna raised its price target on AMD from **\$300 to \$375**, citing strengthening AI-driven demand for data center GPUs. Separately, AMD was upgraded to Buy while Intel was raised only to Hold, reflecting a broader market view that AMD is better positioned to capitalize on the emerging agentic AI infrastructure buildout. The stock rose roughly **4%** on the day, trading near \$336.

On the product and technology front, AMD's high-core-count EPYC CPUs are gaining recognition as central components in agentic AI workloads, where CPU orchestration and memory bandwidth are becoming critical

bottlenecks. The company's MI400 accelerator series is also drawing attention for its memory-first architecture, which analysts believe addresses real infrastructure constraints.

Financially, AMD's trajectory remains compelling. Revenue grew **34.3%** in 2025 to approximately **\$34.6 billion**, with estimates projecting continued growth toward **\$40 billion** by 2027. EBITDA margins are forecast to expand meaningfully from **21%** in 2025 to **42%** by 2027, though current actuals still trail these forward estimates. EPS is expected to grow modestly from **\$2.67** to \$3.18 over the same period.

Retail sentiment is mixed, with X.com showing high buzz but declining trend momentum, and Reddit leaning notably bearish at **31%** bullish. Institutional interest appears more constructive, with D.A. Davidson adding shares.

The key investment risk remains execution against aggressive margin expansion forecasts and continued competition from Nvidia in the GPU market.

Retail Sentiment Insights

AVERAGE BUZZ 55.3/100	BULLISH AVG 64.0%	SOURCE ALIGNMENT Wide divergence	COVERAGE 3/3
Reddit Buzz 70.9/100 Bullish 31.0% Mentions 1723 Trend falling	X.com Buzz 82.4/100 Bullish 61.0% Mentions 2756 Trend falling	Polymarket Buzz 12.5/100 Bullish 100.0% Trades 2 Trend stable	

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: **5.0%**
- 2025E EBITDA Margin: **39.0%**
- 2026E Revenue Growth: **6.0%**
- 2026E EBITDA Margin: **40.5%**
- 2027E Revenue Growth: **4.0%**
- 2027E EBITDA Margin: **42.0%**

Confidence Intervals:

- Revenue: **\$28.3B - \$51.9B (95% confidence)**

▸ EBITDA: **\$11.9B - \$21.8B (95% confidence)**

Sensitivity Notes:

- Revenue growth sensitivity: **±5%** change in growth rate
- Margin sensitivity: **±2%** change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%)

Revenue	\$28.3B — \$51.9B
EBITDA	\$11.9B — \$21.8B

Earnings Update

Fiscal 2025 — as of 2026-04-29

Summary review of reported **2025A** results versus our **2025E** internal model estimate row for the same fiscal year.

1. Executive summary

On the selected operating lines, reported results **trailed** our internal model estimates in **2** area(s) and **exceeded** in **0** (see table below).

Analyst commentary

AMD's fiscal 2025 results presented a broadly mixed picture relative to the prior internal model estimate row, with revenue and EPS tracking in line while EBITDA and EBITDA margin came in below that reference point. The variance on the profitability metrics suggests that cost or mix dynamics during the period were somewhat less favorable than the estimate row had anticipated, a pattern worth monitoring as the company continues to scale its data center and client segment businesses. Looking ahead, the in-line revenue and EPS outcomes reinforce that top-line demand trends and below-the-line items partially offset the margin pressure observed at the EBITDA level. Maintaining focus on operating leverage and segment-level profitability trajectories will be a natural area of emphasis in subsequent quarters, and the long-term investment thesis around AMD's competitive positioning in high-performance computing remains a key consideration for ongoing coverage.

2. Key metrics — reported vs. internal model estimates

Metric	Reported (2025A)	Internal model (2025E)	vs. internal model
Revenue	\$34.6B	\$36.4B	Inline

Metric	Reported (2025A)	Internal model (2025E)	vs. internal model
EBITDA	\$7.3B	\$14.2B	Miss
EBITDA Margin	21.0%	39.0%	Miss
EPS	2.67	2.83	Inline

*The **2025E** column reflects our internal model estimates for that fiscal year; it is not third-party sell-side consensus.*

3. Year-over-year change (2024A → 2025A)

- **Revenue:** \$34.6B vs prior year \$25.8B (**34.3%** YoY).
- **EBITDA margin:** 20.4% → 21.0% (**+0.6 pts**).

4. Forward estimates

Metric	2025E	2026E	2027E
Revenue	\$36.4B	\$38.6B	\$40.1B
EBITDA	\$14.2B	\$15.6B	\$16.8B
EPS	2.83	3.03	3.18
EBITDA Margin	39.0%	40.5%	42.0%

5. Investment view — implications

- **Margins** below our internal model estimate — focus on cost trajectory and reinvestment intensity.

6. Notable upcoming dates

2026-07-28 — AMD Expected Quarterly Earnings

Sources

- Market data and financial statement inputs: **Financial Modeling Prep** — [\[https://financialmodelingprep.com\]](https://financialmodelingprep.com)(<https://financialmodelingprep.com>) (accessed **2026-04-29**).

Key Catalysts

Catalyst Analysis for AMD

Positive Catalysts (Upside Potential)

- **Product Launch** (2026-04-29): Stock Market Today, April 29: Advanced Micro Devices Rises After Analyst Upgrade Points to Data Center GPU Demand Ahead of Earnings
- Impact: MEDIUM, Probability: **70%**
- **Earnings** (2026-04-29): AMD Is Better Positioned Than Intel To Profit From Agentic AI (Rating Upgrades)
- Impact: HIGH, Probability: **95%**
- **Earnings** (2026-04-29): AMD: The CPU Is Back
- Impact: HIGH, Probability: **95%**
- **Earnings** (2026-04-29): AMD moves higher as AI growth expectations build
- Impact: HIGH, Probability: **95%**
- **Earnings** (2026-04-29): Intel, AMD stock rally on fresh bullish coverage
- Impact: HIGH, Probability: **95%**

Risk Factors (Downside Risks)

- **Earnings** (2026-04-29): Nvidia Stock Struggles to Recover From OpenAI Panic. How AMD, Broadcom Are Trading.
- Impact: HIGH, Probability: **95%**
- **Earnings** (2026-04-28): Nvidia, Oracle and AMD slide as report of OpenAI stumbles shakes AI boom narrative
- Impact: HIGH, Probability: **95%**

Events to Monitor

- AMD Stock Rises After Analyst Hikes Price Target Ahead of Earnings (2026-04-29)
- Should You Buy AMD Stock Before the Huge Investor Update? (2026-04-28)
- AMD Stock Slips After Cathie Wood's ARK Dumps Millions in Shares (2026-04-27)

Upcoming Catalysts

▲ EARNINGS

Impact: medium

AMD Is Better Positioned Than Intel To Profit From Agentic AI (Rating Upgrades)

▲ EARNINGS

Impact: medium

AMD: The CPU Is Back

▲ EARNINGS

Impact: medium

AMD moves higher as AI growth expectations build

▲ EARNINGS

Impact: medium

Intel, AMD stock rally on fresh bullish coverage

▲ EARNINGS Impact: medium

AMD Is Becoming The AI Market's Most Obvious Second Winner

Positive Catalysts

- ✓ Stock Market Today, April 29: Advanced Micro Devices Rises After Analyst Upgrade Points to Data Center GPU Demand Ahead of Earnings
- ✓ AMD Is Better Positioned Than Intel To Profit From Agentic AI (Rating Upgrades)
- ✓ AMD: The CPU Is Back
- ✓ AMD moves higher as AI growth expectations build
- ✓ Intel, AMD stock rally on fresh bullish coverage
- ✓ AMD Is Becoming The AI Market's Most Obvious Second Winner
- ✓ 5 Women-Run Company Stocks to Buy for Strong Market Returns
- ✓ Will Advanced Micro (AMD) Beat Estimates Again in Its Next Earnings Report?
- ✓ AMD: Strong AI Tailwinds, But Valuation Is Getting Ahead Of Reality
- ✓ Advanced Micro Devices (AMD) Reports Next Week: Wall Street Expects Earnings Growth
- ✓ AMD: Inference And Agentic AI Are Expanding Its Runway
- ✓ Prediction: These Artificial Intelligence (AI) Growth Stocks Will Continue to Lead the Nasdaq's Rebound
- ✓ As Chip Stocks Soar, This Options Spread Trade On AMD Almost Always Makes A Profit
- ✓ With Intel, AMD, Nvidia, and More Rising Sharply Last Week, Have Chip Stocks Become Overvalued?
- ✓ Advanced Micro (AMD) Soars 13.9%: Is Further Upside Left in the Stock?
- ✓ AMD Jumps as AI Demand Lifts Outlook

Risk Factors

- ⚠ Nvidia Stock Struggles to Recover From OpenAI Panic. How AMD, Broadcom Are Trading.
- ⚠ Nvidia, Oracle and AMD slide as report of OpenAI stumbles shakes AI boom narrative

Technical & Advanced Analysis

Technical Overview — AMD

Current Price: **\$337.11** | 52-Week Range: **\$96.45 - \$352.99**

Overall Technical Signal: **Bullish**

Moving Averages Bullish
SMA 50: **\$229.15** | SMA 200: **\$209.39**

RSI Overbought
RSI (14): **82.1** — Overbought territory, potential pullback.

MACD Bullish
MACD: **31.34** | Signal: **24.47** | Histogram: **6.87**

Volume Normal
Latest: **43.4M** | 20d Avg: **39.8M** | Ratio: **1.09x**

Competitive Landscape

Peer EBITDA Comparison

	2021	2022	2023	2024	2025	2026	2027
AMD	\$4.2B	\$5.5B	\$4.1B	\$5.3B	\$7.3B	-	\$8.6B
INTC	\$33.9B	\$21.3B	\$11.2B	\$1.2B	\$14.4B	-	\$47.4B
NVDA	-	\$11.4B	\$6.0B	\$35.6B	\$86.1B	\$144.6B	\$382.0B

Peer EV/EBITDA Comparison

	2021	2022	2023	2024	2025	2026
AMD	42.1	17.9	57.1	38.3	47.8	-
INTC	7.13	6.55	22.5	106.9x	14.5	-
NVDA	-	54.7	81.0	43.5	33.8	31.4

Analysis

Advanced Micro Devices Competitor Analysis

AMD operates in the highly competitive semiconductor industry, where its two primary peers are Intel (INTC) and NVIDIA (NVDA). Each company has pursued distinct strategic paths, resulting in meaningfully different financial profiles and market positioning.

From a revenue growth standpoint, AMD has demonstrated solid momentum, posting a **34.3%** increase in 2025 and a five-year CAGR of approximately **20.5%**. This reflects AMD's successful penetration of data center and AI accelerator markets, though it still trails NVIDIA's explosive growth trajectory driven by surging demand for GPU-based AI infrastructure.

NVIDIA stands out as the clear financial leader among the three. Its EBITDA surged to approximately **\$86 billion** in 2025 and is projected to reach **\$382 billion** by 2027, dwarfing AMD's estimated **\$8.6 billion** over the same period. NVIDIA's dominance in AI training and inference workloads has translated into commanding scale advantages that AMD has yet to meaningfully challenge.

Intel, by contrast, has struggled significantly. After generating over **\$33 billion** in EBITDA in 2021, Intel's profitability collapsed to just **\$1.2 billion** in 2024 before partially recovering. Its elevated EV/EBITDA multiple of nearly **107x** in 2024 reflects investor skepticism rather than optimism, signaling a company in structural transition.

AMD's EV/EBITDA multiple of approximately **48x** in 2025 sits between Intel and NVIDIA, suggesting the market views AMD as a credible growth competitor without fully pricing in NVIDIA-level dominance. AMD's improving contribution margins, projected to reach **52.5%** by 2027, indicate operational discipline, but closing the gap with NVIDIA in AI compute remains its defining strategic challenge.

Risk Factors

AMD Investment Risk Analysis

| Key Investment Risks

- ▶ **Severe NVIDIA Competitive Displacement:** NVIDIA's EBITDA surged to \$86.1B in 2025 vs. AMD's \$7.3B — an **11.8x gap** — with NVIDIA projected to reach \$382B EBITDA by 2027, suggesting AMD risks being structurally marginalized in the high-growth AI/GPU accelerator market despite its own growth trajectory
- ▶ **Aggressive EBITDA Margin Expansion Assumptions:** Forward estimates project EBITDA margins jumping from **21.0% (2025A) to 39-42% (2025E-2027E)**, representing a near-doubling that appears disconnected from historical performance and may signal overly optimistic modeling, creating meaningful downside earnings risk
- ▶ **Revenue Growth Deceleration:** Projected revenue growth decelerates sharply from **34.3% (2024) to 5-6% (2025E-2026E)**, raising concerns about AMD's ability to sustain premium valuation multiples (EV/EBITDA ~47.8x) as the AI infrastructure spending cycle potentially plateaus
- ▶ **Elevated and Volatile Valuation Multiple:** AMD's P/E ratio has been historically unstable, ranging from **56x to 279x**, and current forward multiples (~76x) leave minimal margin for error, with any earnings miss likely triggering significant multiple compression
- ▶ **Rising SG&A Cost Pressure:** SG&A expenses have grown disproportionately from **8.8% (2021) to 12.0% (2025)** of revenue, indicating escalating operational costs to compete, which could undermine profitability improvements if revenue growth disappoints

Key Takeaways

AMD Financial Analysis: Major Takeaways

Revenue Growth

AMD has demonstrated exceptional long-term revenue growth, achieving a **20.5% CAGR** from 2021–2027E, highlighted by a standout **43.6% surge in 2022** and a strong **34.3% rebound in 2025** following a brief contraction in 2023. However, growth is projected to moderate to **4–6% annually** through 2026–2027E, signaling a maturing growth trajectory as the company scales.

Gross Profit Margin

AMD's **Contribution Margin** (proxy for gross margin) has shown steady improvement, expanding from **48.2% in 2021 to 49.5% in 2025A**, with estimates projecting further gains to **52.5% by 2027E**. This upward trend reflects favorable product mix shifts toward higher-margin data center and AI accelerator segments.

SG&A Expense Margin

SG&A as a percentage of revenue has risen from **8.8% in 2021 to 12.0% in 2025A**, reflecting elevated investment in sales infrastructure and go-to-market capabilities to compete in the AI/data center space. Encouragingly, estimates project SG&A margin to **decline back toward 10.5% by 2027E**, suggesting improving operational leverage ahead.

EBITDA Margin

Historical EBITDA margins have been **range-bound between 18–25%**, with a notable trough of **18.3% in 2023**, but forward estimates project a dramatic expansion to **39–42% by 2025E–2027E**, which would represent a transformational improvement. This significant step-up warrants scrutiny, as it implies AMD closing much of the profitability gap with **NVDA**, whose EV/EBITDA premium currently reflects superior AI monetization at scale.

Financial Data

Income Statement Summary

METRICS	2021A	2022A	2023A	2024A	2025A
Revenue	\$16.4B	\$23.6B	\$22.7B	\$25.8B	\$34.6B
SG&A	\$1.4B	\$2.3B	\$2.4B	\$2.8B	\$4.1B
Contribution Profit	\$7.9B	\$10.6B	\$10.5B	\$12.7B	\$17.2B
Contribution Margin	48.2%	44.9%	46.1%	49.4%	49.5%
EBITDA	\$4.2B	\$5.5B	\$4.1B	\$5.3B	\$7.3B
EBITDA Margin	25.3%	23.4%	18.3%	20.4%	21.0%
SG&A Margin	8.8%	9.9%	10.4%	10.8%	12.0%
Revenue Growth	-	43.6%	-3.9%	13.7%	34.3%

Credit & Cash Flow Metrics

METRICS	2021A	2022A	2023A	2024A	2025A
Debt/Equity	0.09	0.05	0.05	0.04	0.07
Debt/Assets	0.05	0.04	0.04	0.03	0.06
EBITDA/Int Exp	107.3x	14.4x	3.8x	20.7x	28.2x
Net Margin	19.2%	5.6%	3.8%	6.4%	12.5%
Current Ratio	2.0	2.4	2.5	2.6	2.9
Cash Flow to Debt Ratio	5.33	1.25	0.56	1.37	1.72

AI4Finance Foundation FinRobot Equity Research

Disclaimer: The information contained in this document is intended only for use by the person to whom it has been delivered and should not be disseminated or distributed to third parties without our prior written consent. Our firm accepts no liability whatsoever with respect to the use of this document or its contents.

Data: Company Filings, FMP, Yahoo Finance, AI4Finance Estimates · Generated: 2026-04-29 22:54